

target these undervalued, cash-rich companies, seeking to improve the intrinsic value and close the market price discount by increasing payout ratios.

Deep Value Activism

Cash hoarders looking to rationalize their hoarding like to postulate, “If you distribute cash to shareholders, doesn’t that signal that you are no longer a growth company because you have no good use for the cash?” My first thought is, doesn’t letting tens of billions of dollars accumulate on the balance sheet for years on end also reveal an inability to find good use for the cash?

—David Einhorn, *iPrefs: Unlocking Value* (2013)

The nature of the demands typically made by activists supports the view that activists seek undervalued companies with highly liquid balance sheets where increasing payout ratios will improve the intrinsic value and close the market price discount. While activists do not typically focus on a single flaw, using “poor management” as a proxy for a multitude of sins, Brav et al. found that the *primary* stated goal of activist campaigns typically fell into one of seven categories. Each centers on a distinct fault that can be remedied to improve the firm’s intrinsic value and close the market price discount. The objectives are not mutually exclusive, meaning that a single activist campaign can address several problems. Here they are listed from most common to least common:

1. **Undervaluation:** The campaign is couched only in terms of “maximizing shareholder value.” More than half—50.7 percent—of the engagements studied by Brav et al. fell into this category.
2. **Operational inefficiency:** The activist targets general operational inefficiencies, proposing cost cutting or tax efficiency.
3. **Low payout policy and overcapitalization.** The activists seek to reduce excess cash, increase leverage, or increase payouts to shareholders using either dividends or stock repurchases. Alternatively, they attempt to stop or reduce equity offerings and restructure debt.
4. **Excessive diversification.** Where the target is excessively diversified, the activists propose spinning-off divisions or refocusing the business strategy. Where the target is the subject of a merger or acquisition, the activist seeks either to stop the acquisition or seek a higher price for the target.
5. **Independence:** The activists attempt to take over the target or force a sale of it to a third party.
6. **Poor governance:** Activists seek to improve corporate governance by rescinding takeover defenses (either by declassifying the board or